INTRODUCTION

This learning module explores special considerations for the credit evaluation of sovereign and other public issuers that often access fixed-income markets to finance their activities.

A major difference between corporate and sovereign issuers is the use of proceeds and source of repayment of debt obligations. In contrast to corporations that fund working capital and fixed assets to generate profits, sovereign and other government issuers use debt to conduct fiscal policy, supply public goods and services, and fund other government expenditures. While companies primarily rely on operating cash flow to repay debt, governments use tax revenues and other government revenues, such as tariffs and fees, to pay interest and principal.

We analyze sovereign bonds using a combination of qualitative and quantitative factors to assess their ability and willingness to pay. Sovereign defaults are not uncommon, particularly as countries transition from emerging to advanced economies. However, in contrast to corporate issuers, sovereign bondholders are generally unable to force governments to declare bankruptcy and liquidate assets. Non-sovereign issuers, such as certain local governments or quasi-government entities, also issue debt to finance their expenditures or develop infrastructure. This debt is backed by their ability to levy local taxes or generate specific project revenue.

Learning Module Overview

- Governments borrow in public markets to conduct fiscal policy and meet budgetary needs, such as the provision of public goods.
- A sovereign government's ability to tax private economic activity causes these bonds to normally have the lowest credit risk of any issuer in a specific country. In advanced economies, sovereign debt is often considered default risk-free.
- A combination of qualitative and quantitative factors is used to analyze a sovereign issuer's ability and willingness to pay.
- Greater central bank independence from the sovereign issuing entity reduces the likelihood that a national government will simply increase the money supply by purchasing domestic debt.
- A key distinction for sovereign creditworthiness is whether its domestic currency is considered to be a reserve currency, that is, one that is fully convertible and held by foreign central banks and other investors.
- Non-sovereign government debt is issued by local governments or quasi-government entities, backed by their tax revenue or specific project revenue.
- The credit analysis of non-sovereign debt backed by tax revenue has similar considerations to sovereign bonds, while project-based revenue bonds are typically evaluated based upon the cash flows associated with the underlying project.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

A) sovereign debt, B) non-sovereign debt, C) corporate debt

1. Issued by an entity backed by cash flow from its business operations	
2. Issued by a country's government, backed by its ability and willingness to tax	
3. Issued by a local government or entity, backed by its ability and willingness to tax, or revenue from a specific public project	

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Solution:

1. C is correct. Corporate debt is issued by non-government corporations to finance business operations, and payments are made from operating cash flow.

2. A is correct. Sovereign debt is issued by national governments to conduct fiscal policy and finance their budgets. This debt is paid based on the government's ability and willingness to collect taxes from within a jurisdiction.

3. B is correct. Non-sovereign debt is issued by sub-sovereign or local governments and related entities. These bonds are supported by the local taxing authority of the issuer or specific public project revenue.

2. The principle of sovereign immunity is related to the sovereign government's:

A. ability to pay.
B. ability to tax.
C. willingness to pay.

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Solution:

C is correct. Under the principle of sovereign immunity, national laws limit investors' ability to force a sovereign government into bankruptcy or liquidate its assets to settle debt claims as would be the case for a corporate issuer.

3. The creditworthiness of sovereign and other government borrowers is based upon qualitative and quantitative factors. Which of the following is *not* a quantitative factor?

A. External stability
B. Economic growth and flexibility
C. Fiscal strength

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Solution:

B is correct. The quantitative factor is actually economic growth and stability, not flexibility.

4. Which of the following statements best describes characteristics of external strength associated with higher credit quality?

A. A government that is able to impose and enforce capital controls
B. A government that has established free trade agreements with neighboring countries
C. A government whose central bank issues a reserve currency

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frequently held by foreign central banks and other investors. A is incorrect as capital controls may not support debt capacity. B is incorrect since free trade is a necessary, but not a sufficient, condition for establishing external strength.

5. Match the following debt issuances to the correct issuer type:

A) agency bonds, B) general obligation bonds, C) revenue bonds

1. Bonds issued for building a regional highway toll road	
2. Bonds issued by the national mortgage finance corporation, under national law.	
3. Bonds issued by a state government to fund a pension deficit	

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Solution:

1. C is correct. Revenue bonds are issued to finance a specific public benefit project, mostly supported by the local/regional government. The revenue from the project supported by the economic base for utilization of the project determines its credit worthiness.

2. A is correct. Agencies are quasi-government entities whose primary activities are to fulfill a government-sponsored mission to provide public services that are often based upon a specific sovereign law or statute. In many cases, either the law or statute creating the entity authorizes it to finance its activities using debt.

3. B is correct. General obligation (GO) bonds are unsecured bonds backed by the general revenues of the issuing non-sovereign government. These bonds are supported by the taxing authority of the issuer, rather than the revenue from a specific project.

6. Which of the following is a relevant qualitative factor for assessing the sovereign rating for a country's debt issue?

A. Natural resources
B. Trading partnership with a strong economy
C. Economic diversification

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Solution:

C is correct. One of the key factors for assessing the creditworthiness of a sovereign issuer's debt is the degree of economic diversification, as well as growth potential. The economies in countries with the highest-rated sovereign borrowers typically have an advanced and highly diversified domestic economy with strong, sustainable growth prospects. Emerging or frontier market economies, on the other hand, often depend upon a single industry or commodity and/or fewer trading partners, causing the tax revenues available to these sovereign borrowers to be more susceptible to an economic downturn, key commodity price fluctuations, and/or trade interruptions.

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